

SEC Number 168736

File Number _____

EASYCALL COMMUNICATIONS PHILIPPINES, INC.

(Company's Full Name)

TDG in.hub Building, AFPRSBS Industrial Park, Km.12 East Service Road corner C-5

Western Bicutan, Taguig.

(Company's Address)

(632) 8 830-8888

(Telephone Number)

2025 September 30

(Quarter Ending)

SEC Form 17-Q

Form Type

(Secondary License Type and File Number)

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES
REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the period ended: **2025 September 30**
2. Commission identification number: **168736**
3. BIR Tax Identification Code: **000-586-363**
4. Exact name of Issuer as specified in its charter:
EASYCALL COMMUNICATIONS PHILIPPINES, INC.
5. Province, country or other jurisdiction of incorporation or organization: **Metro Manila, Philippines**
6. Industry Classification code: (SEC use only)
7. Address of principal office: Postal Code:
TDG in.hub Building, AFPRSBS Industrial Park, Km.12 East Service Road corner C-5 Western Bicutan, Taguig.
8. Issuer's telephone number, including area code: **(632) 8 830-8888**
9. Former name, former address, and former fiscal year, if changed since last report:
Former Address:
The Penthouse, Four/NEO¹ Building, 4th Avenue cor. 30th Street, E-Square Crescent Park West, Bonifacio Global City, Philippines 1634
10. Securities registered pursuant to Section 8 and 12 of the Securities Regulation Code, or Sections 4 and 8 of the then Revised Securities Act.

<u>Title of Each Class:</u>	<u>Number of Shares issued and outstanding:</u>
Common Shares	150,000,000
11. Are any or all of these securities listed on a Stock Exchange?
Yes [☒] No [☐]
If yes, state the name of such Stock Exchange and the class/es of securities listed therein:
Stock Exchange: **Philippine Stock Exchange**
Securities Listed: **Common Shares**
12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26

¹ Building renamed from Net Quad to Four/NEO

and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports)

Yes ☒ No ☐

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

PART I - FINANCIAL INFORMATION

Item 1. Financial Statements.

For the period under review, our unaudited consolidated condensed financial statements include the accounts of EasyCall Communications Philippines, Inc. (herein referred to as the "Company" or "ECP") and its subsidiaries, EasyNet Communications Philippines, Inc. ("EasyNet") and Transnational E-Business Solutions Inc. ("TESI"), as well as the results of the Company's equity in net earnings of associate TDG Ventures, Inc. ("TVI").

The ECP Group is comprised of ECP and its 100% owned subsidiaries TESI and EasyNet (herein referred to as the "Group").

In addition, the unaudited consolidated condensed financial statements for nine months ended 2025 September 30 have been prepared in accordance with Philippine Accounting Standards on Interim Financial Reporting and hence do not include yet all the information required in the 2025 December 31 annual audited financial statements.

Item 2. Management's Discussion and Analysis ("MD&A") of Financial Condition and Results of Operations.

The following is a discussion and analysis of the Group's consolidated financial performance for nine months ended 2025 September 30. The prime objective of this MD&A is to help the readers understand the dynamics of the Group's business operations, as well as the key factors underlying its financial results for the stated reporting period.

This section also focuses on key statistics from the Group's unaudited consolidated financial statements and pertains to known risks and uncertainties relating to the telecommunications and technology industries in the Philippines, where the Company operates up to the stated reporting period. However, the Group's MD&A should not be considered all inclusive, as it excludes unknown risks, uncertainties and changes that may occur in general, economic, political, legal, technological, and environmental conditions after the stated reporting period.

The Group's MD&A should be read in conjunction with its unaudited consolidated financial statements and accompanying notes. All financial information is reported in Philippine pesos (₱), unless otherwise stated.

Additional information about the Company, including its annual and quarterly reports, can be found on its corporate website, <https://www.easycall.com.ph>.

The following is a summary of the key sections of this MD&A:

FINANCIAL AND OPERATIONAL HIGHLIGHTS	
.....	4
Key Performance Indicators	
.....	4
Financial and Operational Results	
.....	6
PART II – OTHER INFORMATION	
.....	7
<i>Unaudited Consolidated Condensed Financial Statements</i>	
.....	9

FINANCIAL AND OPERATIONAL HIGHLIGHTS

EasyCall Communications Philippines (the “Company”) continues to accelerate long-term digital transformation capabilities and initiatives, particularly across its two (2) main lines of business; namely, managed connectivity and services, and technology and data services.

Supported by its growing management team and manpower, the Company has made several significant investments in recent years, and has expanded its total service offerings through the strategic acquisition of TESI, a technology services company that operates in software development, software as a service, and information technology outsourcing, in January 2022.

The consolidated efforts of the Company and its Subsidiaries (the “Group”) continue to drive stronger operational and financial performance, address gaps in the market, and expand customer reach to unlock value through technology.

In February 2023, the Company was granted a Value-Added Service (VAS) License for Internet Access Service by the National Telecommunications Commission. The VAS is valid for five years and will allow the Company to operate its wired connectivity line of business even without the renewal of its franchise. The Company continues to take steps to ensure business continuity in the event its franchise is not renewed.

For the nine-month period ended 2025 September 30, the Group generated consolidated service revenue of **₱358.80 million**, which is **5%** higher than the amount of **₱342.93 million** reported last year, primarily due to an increase in the service revenues realized from TESI. Correspondingly, costs of services also increased by **5%** to **₱291.64 million** from **₱277.91 million** in the same period last year.

The resulting consolidated Gross Profit from its operations amounted to **₱67.17 million** which is **3%** higher compared to the same period last year of **₱65.02 million**. Operating income before equity in net earnings of associates was **₱17.43 million** versus **₱16.69 million** or **3%** higher than the same period last year.

In addition, the Group is reporting a consolidated net income after tax of **₱1.53 million** for the period, as compared to a net income for the same period last year of **₱3.17 million**. The decrease in net income of **52%** is attributed to the higher equity in net losses in associate of **₱14.50 million** compared to **₱12.61 million** last year same quarter.

Key Performance Indicators

The Group is committed to efficiently manage its resources and enhance shareholder value.

The Group’s consolidated financial performance are presented using the key financial ratios as follows:

Financial Ratios		Q3 2025	2024	2023
Current Ratio	$\frac{\text{Current Assets}}{\text{Current Liabilities}}$	1.55	1.44	1.26
Quick Ratio	$\frac{\text{Cash + Trade Receivables}}{\text{Current Liabilities}}$	0.96	0.83	0.86
Solvency Ratio	$\frac{\text{Net Income + Depreciation}}{\text{Total Liabilities}}$	*NC	0.18	0.23
Debt to Equity Ratio	$\frac{\text{Total Liabilities}}{\text{Shareholder's Equity}}$	0.95	1.03	1.09
Debt Ratio	$\frac{\text{Total Liabilities}}{\text{Total Assets}}$	0.49	0.51	0.52
Asset to Equity Ratio	$\frac{\text{Total Assets}}{\text{Shareholder's Equity}}$	1.95	2.03	2.09
Return on Equity	$\frac{\text{Net Income}}{\text{Shareholder's Equity}}$	*NC	0.04	0.04
Return on Assets	$\frac{\text{Net Income}}{\text{Total Assets}}$	*NC	0.02	0.02
Net Profit Margin	$\frac{\text{Net Income}}{\text{Service Revenues}}$	0.01	0.02	0.03
Gross Profit Margin	$\frac{\text{Gross Margin}}{\text{Service Revenues}}$	0.19	0.20	0.20
*NC : "Not Comparable" as Quarterly Results only in 2025 versus Full Year Results in 2024/2023				

FINANCIAL AND OPERATIONAL RESULTS

REVENUES

The Group generated a consolidated service income of **₱358.80 million** as of 2025 September 30, which is **5%** higher than that of the same period last year, in the amount of **₱342.93 million**. The increase in revenues was primarily due to the increase in systems development and license related revenues from TESI.

COST AND EXPENSES

The Group's consolidated direct costs as of September 30, 2025 was **₱291.64 million** which represents a **5%** increase from **₱277.91 million** for the same period in 2024, directly proportional with the growth in revenues.

The consolidated general and administrative expenses as of 2025 September 30 was **₱45.02 million** with a **4%** increase from **₱43.09 million** for the same period in 2024. The increase is mainly due to organization strengthening initiatives, such as additional manpower complement and organizational engagement activities.

EQUITY IN NET EARNINGS OF ASSOCIATES

As of September 30, 2025, the Company recorded equity in net losses of **₱14.50 million** and **₱12.61 million** for the same period the previous year. This is based on its 11.76% investment in TVI for 2025 as compared to last year same period wherein the Group had 3.8% investment in ePI and 11.76% in TVI.

CASH

As of September 30, 2025, cash in banks amounted to **₱31.74 million**, representing a **46%** decrease from the **₱58.83 million** balance as of December 31, 2024. The decline is primarily attributable to the settlement of loan obligations and the recognition of additional strategic prepayments, including subscription fees and prepaid taxes.

PREPAID EXPENSES AND OTHER CURRENT ASSETS

As of 2025 September 30, the prepaid expenses and other current assets amounted to **₱51.69 million** which increase by **63%** compared to **₱31.69 million** as of 31 December 2024. The increase pertains additional prepaid subscription fees and taxes.

INVESTMENTS IN ASSOCIATE

As of 2025 September 30, the investments in shares of stock amounted to **₱64.23 million** compared to **₱78.73 million** as of 31 December 2024. The decrease is due to the take up of the Company's share in negative equity in net earnings of associates for the three quarters of 2025.

PROPERTY AND EQUIPMENT

The net book value of property and equipment decreased by **₱7.16 million** from **₱77.26 million** as of 31 December 2024 to **₱70.09 million** as of 2025 September 30, mainly due to the depreciation of fixed assets for the period.

CURRENT LIABILITIES

The total current liabilities decreased by **9%** from **₱228.13 million** as of 31 December 2024 to **₱207.45 million** as of 2025 September 30 mainly due to settlement of loans.

PART II - OTHER INFORMATION

The Group continues to provide data-focused technology solutions to the market and complement its existing services by exploring new opportunities in its capacity as a data technology company.

As of September 30 2025, the Group focused on its two main lines of business; namely, managed connectivity and services, and technology and data services.

Through its *Managed Connectivity and Services* line of business, the Group focuses on growing its service offerings and meeting customer expectations, primarily in data connectivity. To ensure continuous productivity, customer satisfaction and reliable service delivery, the Group continues to strengthen and maintain relationships with partners, customers, and suppliers.

Under its *Technology and Data Services* line of business, the Group continues to manage and operationalize its service offerings in technology-focused tools and solutions that support its customers' requirements, primarily in cloud-based technology, data analytics and visualization services, data protection, software development, IT outsourcing, enterprise applications, and deployment of productivity-enhancing business solutions.

The Group continues to explore potential growth opportunities and strengthen digital transformation initiatives aligned with its overall vision as a data technology company.

The company promotes a proactive risk management culture to protect its operations, guide decision-making, and ensure compliance. By regularly assessing risks and monitoring mitigation plans, ECP strengthens resilience and safeguards its strategic goals. Ongoing employee engagement fosters risk awareness, helping the company remain trusted, future-ready, and growth-focused. For this period, ECP has no regulatory compliance issues or financial reporting errors.

The Company's sources of revenues are currently diversified and not significantly derived from franchise-dependent business. The Company continues to implement measures to ensure business continuity and operational resilience.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

ISSUER – EASYCALL COMMUNICATIONS PHILIPPINES, INC.



ZAKI DELGADO
President

Date: NOV 14 2025



JOANNE C. LAZARETO
Treasurer

Date: NOV 14 2025

Easycall Communications
Philippines, Inc. and Subsidiaries

Unaudited Consolidated Condensed Financial Statements
for the Period Ended September 30, 2025 and December 31, 2024 and
for Each of the Nine Months in the Period Ended September 30, 2025 and 2024

EASYCALL COMMUNICATIONS PHILIPPINES, INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS

	Sept 30, 2025	Dec 31, 2024
	Unaudited	Audited
ASSETS		
Current Assets		
Cash in banks	₱ 31,738,984	₱ 58,833,373
Trade and other receivables (Note 4)	178,148,510	174,537,142
Due from a related party	60,048,040	62,550,889
Prepaid expenses and other current assets (Note 5)	51,685,332	31,691,415
Total Current Assets	321,620,866	327,612,819
Noncurrent Assets		
Investments in associates (Note 6)	64,227,432	78,730,984
Property and equipment (Note 7)	70,091,861	77,256,318
Software development	86,003,299	80,270,568
Investment properties (Note 9)	2,081,535	2,081,535
Deferred income tax assets – net	6,050,298	6,050,299
Other noncurrent assets	12,684,679	10,556,677
Total Noncurrent Assets	241,139,104	254,946,381
TOTAL ASSETS	₱ 562,759,970	₱ 582,559,200
LIABILITIES AND EQUITY		
Current Liabilities		
Trade and other payables (Note 10)	₱ 112,190,094	₱ 100,724,608
Note payable - current (Note 11)	75,000,000	110,766,146
Lease liabilities - current portion (Note 8)	13,199,065	13,199,065
Income tax payable	124,139	949,629
Loans payable - current	844,164	-
Due to related parties	6,091,119	2,493,642
Total Current Liabilities	207,448,581	228,133,090
Noncurrent Liabilities		
Lease liabilities - net of current portion (Note 8)	41,398,876	41,398,876
Security deposits	4,325,228	4,325,228
Retirement benefit obligation (Note 18)	17,588,135	17,588,135
Note Payable – net of current portion	3,079,486	3,722,730
Other noncurrent liabilities	742,670	742,670
Total Noncurrent Liabilities	67,134,395	67,777,639
Total Liabilities	274,582,976	295,910,729
Equity (Note 12)		
Capital stock:		
Common	150,000,000	150,000,000
Preferred	1,500,000	1,500,000
Share in other comprehensive income of associates	1,576,600	1,576,600
Accumulated remeasurement gains on defined benefit plan	(11,504,417)	(11,504,417)
Equity reserve	35,186,834	35,186,834
Retained earnings	111,417,977	109,889,454
Total Equity	288,176,994	286,648,471
TOTAL LIABILITIES AND EQUITY	₱ 562,759,970	₱ 582,559,200

See accompanying Notes to Consolidated Financial Statements.

EASYCALL COMMUNICATIONS PHILIPPINES, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF INCOME

	For the quarter Ended September		Year-to-Date September	
	2025	2024	2025	2024
SERVICE REVENUES (Notes 13)	₱ 111,433,105	₱ 111,076,810	₱ 358,802,581	₱ 342,934,392
COSTS OF SERVICES (Note 14)	(90,518,824)	(88,517,217)	(291,635,970)	(277,912,934)
GROSS PROFIT	20,914,281	22,559,593	67,166,611	65,021,458
GENERAL AND ADMINISTRATIVE EXPENSES (Note 15)	(15,522,486)	(15,504,828)	(45,019,479)	(43,090,796)
EQUITY IN NET EARNINGS (LOSSES) OF ASSOCIATES (Note 6)	(5,750,976)	(5,863,138)	(14,503,552)	(12,605,228)
INTEREST EXPENSE	(1,542,652)	(1,801,282)	(5,110,767)	(5,107,949)
FOREIGN EXCHANGE GAINS (LOSSES) – Net	(165,300)	-	216,790	(47,040)
INTEREST INCOME	5,810	30,207	15,818	41,798
OTHER INCOME	67,618	47,611	162,839	142,832
INCOME (LOSS) BEFORE INCOME TAX	(1,993,705)	(531,838)	2,928,260	4,355,076
PROVISION FOR INCOME TAX (Note 19)	807,002	740,417	1,399,737	1,183,843
NET INCOME (LOSS)	₱ (2,800,707)	₱ (1,272,255)	₱ 1,528,523	₱ 3,171,233
OTHER COMPREHENSIVE INCOME (LOSS)				
Share in translation adjustments and cash flow hedges of associates	-	-	-	-
Share in other comprehensive income of an associate	-	-	-	-
Remeasurement gains on defined benefit plan	-	-	-	-
Income tax effect	-	-	-	-
TOTAL OTHER COMPREHENSIVE INCOME (LOSS)				-
TOTAL COMPREHENSIVE INCOME	₱ (2,800,707)	₱ (1,272,255)	₱ 1,528,523	₱ 3,171,233
EARNINGS (LOSSES) PER COMMON SHARE (Note 20)				
Basic and diluted, for net income (loss) for the year attributable to common equity holders of the parent	₱ (0.02)	₱(0.01)	₱0.01	₱0.02

See accompanying Notes to Consolidated Financial Statements.

EASYCALL COMMUNICATIONS PHILIPPINES, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE PERIOD ENDED SEPTEMBER 30, 2025 AND 2024

For the Period Ended September 30, 2025							
	Capital Stock (Note 12)		Share in Other Comprehensive Income of Associates	Accumulated Remeasurement Gains on Defined Benefit Plan	Equity Reserve	Retained Earnings (Note 12)	Total
	Common	Preferred					
Balances, December 31, 2024	₱150,000,000	₱1,500,000	₱ 1,576,600	(₱11,504,417)	₱35,186,834	₱ 109,889,454	₱ 286,648,471
Net Income for the period	-	-	-	-	-	1,528,523	1,528,523
Adjustment for the period	-	-	-	-	-	-	-
Other comprehensive income (loss) for the period	-	-	-	-	-	-	-
Balances, September 30, 2025	₱150,000,000	₱1,500,000	₱1,576,600	(₱11,504,417)	₱35,186,834	₱ 111,417,977	₱ 288,176,994

For the Period Ended September 30, 2024							
	Capital Stock (Note 12)		Share in Other Comprehensive Income of Associates	Accumulated Remeasurement Gains on Defined Benefit Plan	Equity Reserve	Retained Earnings (Note 12)	Total
	Common	Preferred					
Balances, December 31, 2023	₱150,000,000	₱1,500,000	₱3,415,698	(₱4,362,078)	₱35,186,834	₱98,838,821	₱284,579,275
Net Income for the period	-	-	-	-	-	3,171,233	3,171,233
Adjustment for the period	-	-	-	-	-	-	-
Other comprehensive income (loss) for the period	-	-	-	-	-	-	-
Balances, September 30, 2024	₱150,000,000	₱1,500,000	₱3,415,698	(₱4,362,078)	₱35,186,834	₱ 102,010,054	₱ 287,750,508

EASYCALL COMMUNICATIONS PHILIPPINES, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	September 30, 2025	Sep 30, 2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	₱ 2,928,261	₱4,355,076
Adjustments for:		
Equity in net losses (earnings) of associates (Note 6)	14,503,552	12,605,228
Depreciation and amortization (Notes 7, 14 and 15)	23,993,997	24,628,679
Interest expense	5,110,766	5,107,949
Retirement benefit expense	900,000	900,000
Gains on sale of an investment in an associate	-	-
Unrealized foreign exchange losses (gains)	(216,790)	47,040
Interest income from cash in banks	(15,818)	(41,798)
Operating income before changes in working capital	47,203,968	47,602,174
Decrease (increase) in:		
Trade and other receivables (Note 4)	(3,611,368)	(8,467,908)
Due from related parties	2,502,849	45,518
Deferred tax asset	-	-
Prepaid expenses and other current assets	(19,993,917)	(14,375,240)
Other noncurrent assets	(2,128,002)	4,843,546
Increase (decrease) in:		
Trade and other payables	11,465,486	20,495,135
Due to related parties	3,597,477	1,975,991
Other liabilities	(565,226)	(4,766,500)
Net cash generated from (used in) operations	38,471,267	47,352,716
Retirement contribution	(900,000)	(1,500,000)
Interest received	15,818	41,798
Income taxes paid	(2,225,227)	(2,701,430)
Net cash flows from (used in) operating activities	35,361,858	43,193,084
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to software	(20,307,125)	(29,851,025)
Additions to property and equipment (Note 7)	(2,255,145)	(5,966,118)
Proceeds from disposal of an investment in an associate (Note 6)	-	-
Dividends received	-	-
Net cash flows from (used in) investing activities	(22,562,270)	(35,817,143)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from avallment of note		4,665,429
Payments of:		
Lease liabilities – principal		
Notes Payable	(35,000,000)	
Lease liabilities – interest		
Note payable - interest	(5,110,767)	
Proceeds from notes payable		(5,107,949)
Cash flows from (used in) financing activities	(40,110,767)	(442,520)
NET INCREASE (DECREASE) IN CASH IN BANKS	(27,311,179)	6,933,421
EFFECT OF EXCHANGE RATE CHANGES ON CASH IN BANKS	216,790	(47,040)
CASH IN BANKS AT BEGINNING OF YEAR	58,833,373	58,177,170
CASH IN BANKS AT END OF YEAR	₱ 31,738,984	65,063,551

See accompanying Notes to Consolidated Financial Statements.

EASYCALL COMMUNICATIONS PHILIPPINES, INC. AND SUBSIDIARIES

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Easycall Communications Philippines, Inc. (the Company) was registered with the Philippine Securities and Exchange Commission (SEC) on September 25, 1989 primarily to operate a paging business in the Philippines. The Company was listed in the Philippine Stock Exchange (PSE) in May 1992.

Since the shutdown of the paging business in 2002 as a result of the development of short messaging service of cellular phone companies, the Company engaged into the contact center outsourcing business and information technology (IT) related business. The operations of these businesses are carried out by the Company, its subsidiary, Easynet Communications Philippines, Inc. (Easynet), a company engaged in IT services, and its associate, ePerformax International, Inc. (ePI), a company engaged in contact center outsourcing business. In May 2019, the Board of Directors (BOD) approved the transfer of all operations related to the IT services of Easynet to the Company. The principal place of business is located at TDG in.hub Building, AFPRSBS Industrial Park, Km.12 East Service Road corner C-5 Western Bicutan, Taguig.

TDG Ventures Inc. (TVI), a company organized in the Philippines, owns 88% interest on both common and preferred stocks of the Company as of December 31, 2024 and 2023. The ultimate parent of the group is Transnational Diversified Corporation (TDC), a company organized in the Philippines.

In January 2022, the Company acquired 100% ownership in Transnational E-Business Solutions Inc (TESI), a company engaged in IT services, as a strategic move to integrate its IT-related operations.

In December 2022, the Board of Investments approved the registration of the group as an Export Market Enterprise in accordance with the provisions of Executive Order No. 226, otherwise known as the Omnibus Investment Code. This entitled group to the following incentives:

- 5% tax on Gross Income Earned (GIE) until April 11, 2031;
- Duty exemption until April 11, 2031; and
- VAT exemption and zero rating until April 11, 2031

The Company's sources of revenues are currently diversified and not significantly derived from franchise-dependent business. The Company is taking steps to ensure business continuity and future-proof its operations.

The consolidated financial statements as of December 31, 2024 and 2023 and for each of the three years in the period ended December 31, 2024 were authorized for issue by the BOD on April 08, 2025.

2. Basis of Preparation, Statement of Compliance and Summary of Significant Accounting Policies

Basis of Preparation

The consolidated financial statements of the Group have been prepared under the historical cost basis and are presented in Philippine Peso (₱), which is the Group's functional currency.

Statement of Compliance

The consolidated financial statements have been prepared in accordance with Philippine Financial Reporting Standards (PFRSs).

Basis of Consolidation

The consolidated financial statements include the accounts of the Company and the following subsidiaries (collectively the Group):

Investee companies	Percentage of ownership	
	2024	2023
Easynet	100%	100%
TESI	100%	100%

A subsidiary is an entity in which the Company has control. Control is achieved when the Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect the returns through its power over the investee. Specifically, the Company controls an investee if, and only if, the Company has all the following:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure or rights to variable returns from its involvement with the investee; and
- The ability to use its power over the investee to affect its returns.

The Company reassesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control.

A subsidiary is consolidated from the date of acquisition, being the date on which control is transferred to the Group and continue to be consolidated until the date that such control ceases. When there is a loss of control of a subsidiary, the consolidated financial statements include the results for the part of the reporting year during which the Company has control.

The financial statements of a subsidiary are prepared for the same reporting year as the Group. Consolidated financial statements are prepared using uniform accounting policies for like transactions and other events in similar circumstances.

Profit or loss and each component of other comprehensive income are attributed to the equity holders of the parent of the Group and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill, if any) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any surplus or deficit in profit or loss; and
- Reclassifies the parent's share of components previously recognized in other comprehensive income to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

Common control business combination

Business combination of entities under common control is accounted for similar to pooling of interest method, which is scoped out of PFRS 3, *Business Combinations*. Under the pooling of interest method, any excess of acquisition cost over the net asset value of the acquired entity is recorded in equity. The Group also applied prospectively the effect of the pooling of interest wherein comparative years have not been restated.

Changes in Accounting Policies and Disclosures

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of the new and revised standards and Philippine Interpretations which were applied starting January 1, 2024. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. The following amended standards did not have any significant impact on the consolidated financial statements:

- Amendments to PAS 1, *Classification of Liabilities as Current or Non-current*

The amendments clarify:

- That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
- That classification is unaffected by the likelihood that an entity will exercise its deferral right.
- That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

- Amendments to PFRS 16, *Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

- Amendments to PAS 7 and PFRS 7, *Disclosures: Supplier Finance Arrangements*

The amendments specify disclosure requirements to enhance the current requirements, which are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

Material Accounting Policy Information

Current versus Noncurrent Classification

The Group presents assets and liabilities in the consolidated balance sheets based on current/noncurrent classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within 12 months after the balance sheet date; or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least 12 months after the reporting date.

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in the normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within 12 months after the reporting date; or
- There is no unconditional right to defer the settlement of the liability for at least 12 months after the reporting date.

The Group classifies all other liabilities as noncurrent.

Deferred income tax assets and liabilities are classified as noncurrent assets and liabilities, respectively.

Financial Instruments - Classification and Measurement

Classification of financial assets

Financial assets are classified in their entirety based on the contractual cash flows characteristics of the financial assets and the Group's business model for managing the financial assets. The Group classifies its financial assets into the following measurement categories:

- financial assets measured at amortized cost
- financial assets measured at fair value through profit or loss
- financial assets measured at fair value through other comprehensive income, where cumulative gains or losses previously recognized are reclassified to profit or loss
- financial assets measured at fair value through other comprehensive income, where cumulative gains or losses previously recognized are not reclassified to profit or loss

Contractual cash flows characteristics

If the financial asset is held within a business model whose objective is to hold assets to collect contractual cash flows or within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, the Group assesses whether the cash flows from the financial asset represent solely payments of principal and interest (SPPI) on the principal amount outstanding.

In making this assessment, the Group determines whether the contractual cash flows are consistent with a basic lending arrangement, i.e., interest includes consideration only for the time value of money, credit risk and other basic lending risks and costs associated with holding the financial asset for a particular period of time. In addition, interest can include a profit margin that is consistent with a basic lending arrangement. The assessment as to whether the cash flows meet the test is made in the currency in which the financial asset is denominated. Any other contractual terms that introduce exposure to risks or volatility in the contractual cash flows that is unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, do not give rise to contractual cash flows that are solely payments of principal and interest on the principal amount outstanding.

Business model

The Group's business model is determined at a level that reflects how groups of financial assets are managed together to achieve a particular business objective. The Group's business model does not depend on management's intentions for an individual instrument.

The Group's business model refers to how it manages its financial assets in order to generate cash flows. The Group's business model determines whether cash flows will result from collecting contractual cash flows, selling financial assets or both. Relevant factors considered by the Group in determining the business model for a group of financial assets include how the performance of the business model and the financial assets held within that business model are evaluated and reported to the Group's key management personnel, the risks that affect the performance of the business model (and the financial assets held within that business model) and how these risks are managed and how managers of the business are compensated.

Financial assets at amortized cost

A financial asset is measured at amortized cost if (i) it is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and (ii) the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. These financial assets are initially recognized at fair value plus directly attributable transaction costs and subsequently measured at amortized cost using the effective interest rate (EIR) method, less any impairment in value. Amortized cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortization is included in 'Interest income' in the consolidated statements of comprehensive income and is calculated by applying the EIR to the gross carrying amount of the financial asset, except for (i) purchased or originated credit-impaired financial assets and (ii) financial assets that have subsequently become credit-impaired, where, in both cases, the EIR is applied to the amortized cost of the financial asset. Losses arising from impairment are recognized in "Provision for expected credit losses" in the consolidated statements of comprehensive income.

The Group's financial assets at amortized cost as of December 31, 2024 and 2023 consists of cash, trade and other receivables and due from related parties. The Group assessed that the contractual cash flows of these financial assets are expected to be held to collect all contractual cash flows until their maturity. As a result, the Group concluded these financial assets are to be measured at amortized cost.

Classification of financial liabilities

Financial liabilities are measured at amortized cost, except for the following:

- financial liabilities measured at fair value through profit or loss;
- financial liabilities that arise when a transfer of a financial asset does not qualify for derecognition or when the Group retains continuing involvement;
- financial guarantee contracts;
- commitments to provide a loan at a below-market interest rate; and
- contingent consideration recognized by an acquirer in accordance with PFRS 3.

A financial liability may be designated at fair value through profit or loss if it eliminates or significantly reduces a measurement or recognition inconsistency (an accounting mismatch) or:

- if a host contract contains one or more embedded derivatives; or

- if a Group of financial liabilities or financial assets and liabilities is managed and its performance evaluated on a fair value basis in accordance with a documented risk management or investment strategy.

Where a financial liability is designated at fair value through profit or loss, the movement in fair value attributable to changes in the Group's own credit quality is calculated by determining the changes in credit spreads above observable market interest rates and is presented separately in other comprehensive income.

The Group's financial liabilities measured at amortized cost are comprise of trade and other payables, due to a related party and lease liabilities.

Offsetting Financial Instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statements of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, event of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Impairment of Financial Assets

The Group recognizes ECL for the following financial assets that are not measured at FVTPL:

- debt instruments that are measured at amortized cost and FVOCI;
- loan commitments; and
- financial guarantee contracts.

ECLs are measured in a way that reflects the following:

- an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;
- the time value of money; and
- reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

Financial assets migrate through the following three stages based on the change in credit quality since initial recognition:

Stage 1: 12-month ECL

For credit exposures where there have not been significant increases in credit risk since initial recognition and that are not credit-impaired upon origination, the portion of lifetime ECLs that represent the ECLs that result from default events that are possible within the 12-months after the reporting date are recognized.

Stage 2: Lifetime ECL - not credit-impaired

For credit exposures where there have been significant increases in credit risk since initial recognition on an individual or collective basis but are not credit-impaired, lifetime ECLs representing the ECLs that result from all possible default events over the expected life of the financial asset are recognized.

Stage 3: Lifetime ECL - credit-impaired

Financial assets are credit-impaired when one or more events that have a detrimental impact on the estimated future cash flows of those financial assets have occurred. For these credit exposures, lifetime ECLs are recognized and interest revenue is calculated by applying the credit-adjusted effective interest rate to the amortized cost of the financial asset.

A financial asset is considered to have low credit risk if:

- the financial instrument has a low risk of default
- the borrower has a strong capacity to meet its contractual cash flow obligations in the near term
- adverse changes in economic and business conditions in the longer term may, but will not necessarily, reduce the ability of the borrower to fulfil its contractual cash flow obligations.

Determining the stage for impairment

At each reporting date, the Group assesses whether there has been a significant increase in credit risk for financial assets since initial recognition by comparing the risk of default occurring over the expected life between the reporting date and the date of initial recognition. The Group considers reasonable and supportable information that is relevant and available without undue cost or effort for this purpose. This includes quantitative and qualitative information and forward-looking analysis.

Derecognition of Financial Instruments

Financial Assets

A financial asset (or, where applicable a part of a financial asset or part of a Group of similar financial assets) is derecognized when, and only when:

- the rights to receive cash flows from the asset expires; or
- the Group retains the right to receive cash flows from the asset, but has assumed an obligation to pay them in full without material delay to a third party under a 'pass-through' arrangement; or
- the Group has transferred its rights to receive cash flows from the asset and either (a) has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group retains the contractual rights to receive the cash flows of a financial asset but assumes a contractual obligation to pay those cash flows to one or more entities, the Group treats the transaction as a transfer of a financial asset if the Group:

- has no obligation to pay amounts to the eventual recipients unless it collects equivalent amounts from the original asset;
- is prohibited by the terms of the transfer contract from selling or pledging the original asset other than as security to the eventual recipients for the obligation to pay them cash flows; and
- has an obligation to remit any cash flows it collects on behalf of the eventual recipients without material delay.

In transactions where the Group neither transfers nor retains substantially all the risks and rewards of ownership of the financial asset and it retains control over the financial asset, the financial asset is recognized to the extent of the Group's continuing involvement in the financial asset. The extent of the Group's continuing involvement in the transferred asset is the extent to which it is exposed to changes in the value of the transferred asset. When the Group's continuing involvement takes the form of guaranteeing the transferred asset, the extent of the Group's continuing involvement is the lower of (i) the amount of the asset and

(ii) the maximum amount of the consideration received that the Group could be required to repay ('the guarantee amount'). When the Group's continuing involvement takes the form of a written or purchased option (or both) on the transferred asset, the extent of the Group's continuing involvement is the amount of the transferred asset that the Group may repurchase. However, in the case of a written put option on an asset that is measured at fair value, the extent of the Group's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price. When the Group's continuing involvement takes the form of a cash-settled option or similar provision on the transferred asset, the extent of the Group's continuing involvement is measured in the same way as that which results from non-cash settled options.

Modification of contractual cash flows

When the contractual cash flows of a financial asset are renegotiated or otherwise modified and the renegotiation or modification does not result in the derecognition of that financial asset, the Group recalculates the gross carrying amount of the financial asset as the present value of the renegotiated or modified contractual cash flows discounted at the original EIR (or credit-adjusted EIR for purchased or originated credit-impaired financial assets) and recognizes a modification gain or loss .

When the modification of a financial asset results in the derecognition of the existing financial asset and the subsequent recognition of the modified financial asset, the modified asset is considered a 'new' financial asset. Accordingly, the date of the modification shall be treated as the date of initial recognition of that financial asset when applying the impairment requirements to the modified financial asset.

Financial Liabilities

A financial liability is derecognized when the obligation under the liability is discharged or cancelled, or has expired. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in profit or loss.

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is

based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between Levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Prepaid Expenses Other Current Assets

CWTs

CWTs are amounts withheld from income subject to expanded withholding taxes. CWTs can be utilized as payment for income taxes provided that these are properly supported by certificates of creditable tax withheld at source, subject to the rules on Philippine income taxation.

Prepaid Expenses

Prepaid expenses include items of goods or services purchased by the Group for use in its operations but not fully consumed by the end of the accounting period. When goods or services are initially purchased, the amount is recorded in an asset account. At the end of the reporting period, the Group determines the portion of such expenditures that is applicable to subsequent reporting period and the portion used up during the current reporting period. The used-up portion is recognized in profit or loss.

Security Deposits

Security deposits are cash advances to service providers relating to information and communication services, as determined in the service agreements. These deposits are measured at the amount of cash outflow at the time of payment and periodically reviewed for impairment.

Investments in Associates

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries.

The Group's investments in its associates are accounted for using the equity method. Under the equity method, the investments in associates are initially recognized at cost. The carrying amount of the investments is adjusted to recognize changes in the Group's share of net assets of the associates or since the acquisition date.

An investment is accounted for using the equity method from the date on which it becomes an associate. On acquisition of the investment, any difference between the cost of the investment and the entity's share of the net fair value of the investee's identifiable assets and liabilities is accounted for as follows:

- Goodwill relating to an associate or a joint venture is included in the carrying amount of the investment. Amortization of that goodwill is not permitted.
- Any excess of the entity's share of the net fair value of the investee's identifiable assets and liabilities over the cost of the investment is included as income in the determination of the entity's share of the associate or joint venture's profit or loss in the period in which the investment is acquired.

The consolidated statements of income reflect the Group's share of the results of operations of the associates. Any change in other comprehensive income of those investees is presented as part of the Group's other comprehensive income. In addition, when there has been a change recognized directly in the equity of the associates, the Group recognizes its share of any changes, when applicable, in the consolidated statements of changes in equity. Unrealized gains and losses resulting from transactions between the Group and the associates are eliminated to the extent of the interest in the associates.

The financial statements of the associates are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investments in associates.

Upon loss of significant influence over the associates, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the associate or joint venture upon loss of significant influence or joint control and the fair value of the retained investment and proceeds from disposal is recognized in profit or loss.

Property and Equipment

Property and equipment are carried at cost less accumulated depreciation and amortization and impairment losses, if any.

Initially, an item of property and equipment is measured at its cost, which comprises of its purchase price and any directly attributable cost in bringing the asset to its intended location and working condition. Subsequent costs are capitalized as part of property and equipment only when it is probable that future economic benefits associated with the asset will flow to the Group and the cost of the item can be measured reliably. The costs of the day-to-day servicing of an asset are recognized as expenses in the period in which they are incurred.

Depreciation and amortization are computed using the straight-line method over the estimated useful lives of the assets as follows:

Depreciation and amortization are computed on a straight-line basis over the following estimated useful lives of the assets, except for leasehold improvements, which are amortized over the term of the lease or their estimated useful lives, whichever is shorter:

Category	Number of Years
ROU assets	2-10
Information and communication technology (ICT) equipment	2-10
Furniture, fixtures and equipment	3-5
Leasehold improvements	2-5
Transportation equipment	3-5

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the year the asset is derecognized.

The assets' residual values, useful lives and depreciation and amortization method are reviewed and adjusted, if appropriate, at each financial year-end to ensure that the periods, residual values and method of depreciation are consistent with the expected pattern of economic benefits from items of property and equipment.

Fully depreciated and amortized assets are retained in the accounts until they are no longer in use and no further charge for depreciation is made in respect of those assets. When assets are retired or otherwise disposed of, both the cost and related accumulated depreciation and amortization and any allowance for impairment losses are removed from the accounts and any resulting gain or loss is credited or charged to current operations.

Software

Software that is not an integral part of the related hardware is treated as an intangible asset. The Group's software includes internally developed applications and software acquired separately which is initially recognized at cost. Following initial recognition, software is carried at cost less accumulated amortization and any accumulated impairment in value.

Software is amortized on a straight-line basis over its estimated useful economic life of 2-3 years and assessed for impairment whenever there is an indication that the software may be impaired. The amortization commences when the software is available for use. The amortization period and method for the software are reviewed at the end of reporting period. Changes in the estimated useful life or the expected pattern of economic benefits from the software are accounted for by changing the amortization period, as appropriate, and treated as changes in accounting estimates. The amortization is recognized in profit or loss.

Investment Properties

Investment properties consists of parcels of land held for capital appreciation. These are initially measured at cost, including transaction costs, less any impairment in value.

Expenditures incurred after the investment properties has been put in operation, such as repairs and maintenance costs, are normally charged in the in the period in which the costs are incurred. Subsequent to initial recognition, land is carried at cost less any impairment in value.

Investment properties are derecognized when it has either been disposed of or permanently withdrawn from use and no future benefit is expected from its disposal. Any gain or loss on

the derecognition of investment properties are recognized in profit or loss in the period of derecognition.

Transfers are made to investment properties when, and only when, there is a change in use, evidenced by the end of owner occupation, commencement of an operating lease to another party or by the end of construction or development. Transfers are made from investment property, when and only when, there is a change in use, evidenced by commencement of owner occupation or commencement of development with a view to sale. For transfers from investment property to owner-occupied property, the deemed cost of property for subsequent accounting is its fair value at the date of change in use. If the property occupied by the Group as an owner-occupied property becomes an investment property, the Group accounts for such property in accordance with the policy stated under "Property and equipment" up to the date of change in use.

Other Noncurrent Assets

Investment in club shares, presented under "Other noncurrent asset" account, are treated as non-proprietary club shares by the Group. Non-proprietary club shares, though an equity instrument in its legal form, is not an equity instrument in the context of PFRS 9. Furthermore, it does not entitle the holder to a contractual right to receive cash or another financial asset from the issuing corporation. The holder of the share, in substance, only paid for the privilege to enjoy the club facilities and services but not for ownership of the club. In such case, the holder accounts for the share as an intangible asset under PAS 38, *Intangible Assets*.

The investment in club shares which is carried at cost is regarded as having an indefinite useful life as there is no foreseeable limit to the period over which this asset is expected to generate net cash inflows for the Group. The assessment of indefinite life is reviewed annually to determine whether the indefinite life continues to be supportable.

Impairment of Nonfinancial Assets

Prepaid Expenses and Other Current Assets, Property and Equipment, Software, Investment Properties and Investments in Associates

The Group assesses at each reporting date whether there is an indication that an asset may be impaired. If any such indication exists, or when annual impairment testing for an asset is required, the Group makes an estimate of the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs to sell and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators. Impairment losses of continuing operations are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation,

had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in profit or loss unless the asset is carried at revalued amount, in which case the reversal is treated as a revaluation increase. After such a reversal, the depreciation charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Capital Stock

Subscribed and issued common and preferred stocks are classified as equity. Incremental costs directly attributable to the issue of new common stock are shown in equity as a deduction, net of tax, from the proceeds.

Preferred stocks which are redeemable at the option of the Company are classified as equity. These preferred stocks are voting, non-cumulative, non-participating and not convertible to common stocks.

Stock Issuance Costs

Stock issuance costs shall be debited to additional paid-in capital arising from the stock issuance. If the additional paid-in capital is insufficient to absorb such expenses, stock issuance costs are reported as a contra equity account as a deduction from the following in the order of priority:

- a) Additional paid-in capital from previous stock issuance
- b) Retained earnings

Retained Earnings

Retained earnings include accumulated profits and losses and remeasurement gains or losses on defined benefit plan attributable to the Group's stockholders and reduced by dividends. Dividends are recognized as liabilities and deducted from equity when declared. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Equity Reserve

Equity reserve pertain to gains or losses resulting from increase or decrease in ownership without loss of control. Equity reserve also contain difference between the consideration given up and the net book value of the acquired net assets or purchase of shares made under common control and that has been accounted under pooling of interest method.

Revenue Recognition

Revenue from Contracts with Customers

The Group is in the business of providing IT related services to its customers. Revenue is recognized when the Group satisfies a performance obligation identified in the contract. Revenue is measured at an amount that reflects the consideration to which the Group expects to be entitled in exchange for the services. The Group determines, at contract inception, whether it will transfer control of a promised good or service over time. If the Group does not satisfy a performance obligation over time, the performance obligation is satisfied at a point in time.

Performance obligation generally pertains to the performance of IT related services to the customers. The Group also provides installation and set-up services which are bundled with the IT related services. The promise to install and set up is not considered as a distinct service from the IT related services since the customer may not be able to benefit from the installation and set-up services without the IT related services. The two services are deemed as one performance obligation and that revenues from the installation and set-up activities shall be recognized over time throughout the subscription period. Accordingly, the Group recognizes contract liability which represents payments received for the installation and set-up services.

Contract liability is recognized as revenue on a straight-line basis over the term of the subscription. Contract liability is presented as part of "Trade and other payables" in the consolidated statements of financial position.

The disclosures of significant accounting judgments, estimates and assumptions relating to revenue from contracts with customers are provided in Note 3.

Principal versus Agent

The Group has concluded that it is acting as a principal in all its revenue arrangements since it is the primary obligor in the revenue arrangements, has pricing latitude and is also exposed to credit risks.

Deferred Contract Cost

Costs to obtain contracts with customers that would not have been incurred if the contracts were not obtained are recognized as deferred contract costs. Deferred contract costs are subsequently recognized as expense on a straight-line basis over the contract period.

Costs to obtain contracts with customers that would have been incurred irrespective of whether the contract were obtained are immediately recognized as expense.

Costs incurred to fulfill a contract are capitalized as deferred contract costs if all of the following conditions are met:

- The costs relate directly to a contract or to an anticipated contract that the Group can specifically identify;
- The costs generate or enhance resources of the Group that will be used in satisfying performance obligation in the future; and
- The costs are expected to be recovered.

Interest income

Interest income is recognized as it accrues taking into account the effective interest rate method.

Other income

This includes revenue recognized when earned from sources other than the normal business operations of the Group.

Costs and Expenses

Costs and expenses are decreases in economic benefits during the accounting period in the form of outflows or depletions of assets or incurrence of liabilities that result in decreases in equity, other than those relating to distributions to equity participants. Costs and expenses are generally recognized when incurred.

Costs of Services

Costs of services, which comprise mainly of costs of providing IT-related services, are recognized when incurred.

General and Administrative Expenses

General and administrative expenses are generally recognized when incurred.

Interest Expense

Interest expense is accrued in the appropriate period using the EIR method.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate at the reporting date. Foreign exchange differences between the rates at transaction date and settlement date or reporting date are recognized in profit or loss.

The functional currency of the Group and its subsidiaries is ₱ except for an associate for which the functional currency is the United States dollar (\$). Each entity in the Group determines its own functional currency and items included in the individual financial statements of each entity are measured using that functional currency.

Leases

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Group as a lessee

The Group applies a single recognition and measurement approach for long-term leases. The Group recognizes lease liability to make lease payments and right-of-use (ROU) assets representing the right to use the underlying assets.

ROU assets

It is the Group's policy to classify ROU assets as part of property, plant and equipment. The Group recognizes ROU assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). ROU asset is measured at cost, less any accumulated depreciation and impairment loss, and adjusted for any remeasurement of lease liability. The cost of ROU assets includes the amount of lease liability recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. ROU assets are depreciated on a straight-line basis over the shorter of the estimated useful life of the asset and the lease term.

If ownership of the leased asset transfers to the Group at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. The ROU assets are also subject to impairment.

Amortization is computed using the straight-line method over the estimated useful lives of the assets of 5 to 20 years.

Lease liability

At the commencement date of the lease, the Group recognizes lease liability measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses (unless they are incurred to produce inventories) in the period in which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a

change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

Short-term Leases

The Group applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). Lease payments on short-term lease assets are recognized as expense in profit or loss on a straight-line basis over the lease term.

Retirement Benefits

The Group has a defined retirement benefit plan which requires contributions to be made to separately administered fund.

The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plans is actuarially determined using the projected unit credit method.

The cost of providing benefits under the defined benefit plan is actuarially determined by an independent qualified actuary using the projected unit credit method.

Defined benefit costs are comprised of service costs, net interest on the net defined benefit liability or asset and remeasurements of net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can they be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Income Taxes

Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Deferred income tax

Deferred income tax is provided using the balance sheet liability method on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- where the deferred income tax liability arises from the initial recognition of goodwill or of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income or loss; and
- in respect of taxable temporary differences associated with investments in subsidiaries, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred income tax assets are recognized for all deductible temporary differences and carryforward benefits of unused net operating loss carryover (NOLCO) and tax credits from excess minimum corporate income tax (MCIT) to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward benefits of unused NOLCO and unused tax credits from excess MCIT can be utilized, except:

- where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting income nor taxable income or loss; and
- in respect of deductible temporary differences associated with investments in subsidiaries and associates, deferred income tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax assets to be utilized in the future. Unrecognized deferred income tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred income tax asset to be recovered.

Deferred income tax assets and liabilities are measured at the tax rate that is expected to apply to the period when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting period.

Deferred income tax relating to items recognized in other comprehensive income is recognized in OCI.

Deferred income tax assets and liabilities are offset, if and only if, a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities, which intend to either settle current income tax liabilities and assets on a net basis, or to realize the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred income tax assets or liabilities are expected to be settled or recovered.

Value-Added Tax (VAT)

Revenues, expenses, and assets are recognized net of the amount of VAT, if applicable.

For its VAT-registered activities, when VAT from sales of goods and/or services (output VAT) exceeds VAT passed on from purchases of goods or services (input VAT), the excess is recognized as payable in the consolidated statements of financial position. When VAT passed on from purchases of goods or services (input VAT) exceeds VAT from sales of goods and/or services (output VAT), the excess is recognized as an asset in the consolidated statements of financial position up to the extent of the recoverable amount.

Provisions

Provisions are recognized only when the Group has a present obligation (legal or constructive) as a result of past event; it is probable (i.e., more likely than not) that an outflow of resources embodying economic benefits will be required to settle the obligation; and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessment of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. The provision is reviewed on an annual basis of changes in cost estimates, discount rates or life of operations.

Earnings Per Common Share

Basic earnings per common share are computed by dividing net income for the year attributable to the common shareholders of the parent by the weighted average number of common shares issued and outstanding during the year, after retroactive adjustments for any stock dividends declared and stock rights exercised during the year.

Diluted earnings per share amounts are calculated by dividing the net income for the year attributable to the common shareholders of the parent by the weighted average number of common shares outstanding during the year plus the weighted average number of common shares that would be issued for outstanding common stock equivalents.

The Group does not have dilutive common stock equivalents.

Segment Reporting

The Group's operating businesses are recognized and managed according to the nature of the services offered, with each segment representing a strategic business unit that serves different markets.

Contingencies

Contingent liabilities are not recognized in the financial statements. These are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. Contingent assets are not recognized in the financial statements but disclosed when an inflow of economic benefits is probable.

Events After the End of the Reporting Period

Post year-end events that provide additional information about the Group's financial position at the reporting date (adjusting events) are reflected in the consolidated financial statements. Post year-end events that are not adjusting events are disclosed in the notes to the consolidated financial statements when material.

New Standards and Interpretation Issued and Effective after December 31, 2022

The Group will adopt the standards enumerated below when these become effective. The Group does not expect the adoption of these new and amended PFRSs, PAS and Philippine Interpretations to have significant impact on the consolidated financial statements.

Effective beginning on or after January 1, 2025

- Amendments to PAS 21, Lack of Exchangeability

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards - Volume 11
 - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
 - Amendments to PFRS 7, *Gain or Loss on Derecognition*
 - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
 - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
 - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 17, *Insurance Contracts*
- PFRS 18, *Presentation and Disclosure in Financial Statements*
- FRS 19, *Subsidiaries without Public Accountability*

Deferred effectivity

Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

3. Significant Accounting Judgments, Estimates and Assumptions

The preparation of consolidated financial statements in accordance with PFRSs require management to make judgments, estimates and assumptions that affect amounts reported in the consolidated financial statements and related notes. The judgments, estimates and assumptions used in the consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the consolidated financial statements. Actual results could differ from such estimates. Judgments, estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made judgments, apart from those involving estimations which have the most significant effect on the amounts recognized in the consolidated financial statements.

Determining Whether Significant Influence Exists for Purposes of Applying PAS 28

The Group evaluates various factors in determining whether significant influence exists. Under PAS 28, there is a presumption that if ownership is below 20%, significant influence does not exist unless otherwise supported. Among the factors being considered by management in the assessment are, degree of representation in the BOD of the investee, participation in the investee's policy-making processes, contractual arrangements, and power to veto significant operating and financial decisions.

The Group has representation of at least one in each of the BOD of the investees. Under the exercise of this judgment, the Group classified its 11.76% investment in TVI as investments in associates in 2024 and its 3.80% investment in ePerformax International, Inc. (ePI) and 11.76% investment in TVI as investments in associates in 2023 (see Note 6).

Estimates and Assumptions

Impairment of Financial Assets at Amortized Cost

The calculation is initially based on the Group's historical observed default rates. The Group will calibrate the calculation to adjust historical credit loss experience with forward-looking information. For instance, if forecast economic conditions are expected to deteriorate over the next year which can lead to an increased number of defaults, the historical default rates are adjusted. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The assessment of the correlation between historical observed rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Group's historical credit loss experience and forecast economic conditions may also not be representative of customer's actual default in the future.

The Group has allowance for ECL on its trade and other receivables and due from related parties as of December 31, 2024 and 2023 amounting to ₱3,649,364 (see Note 4). As of December 31, 2024 and 2023, the carrying value of trade and other receivables and due from related parties amounted to ₱237,088,031 and ₱190,766,421, respectively (see Notes 4 and 18).

Leases - Estimating the IBR

The Group cannot readily determine the interest rate implicit in the lease, therefore, it uses its IBR to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the ROU assets in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs when available and is required to make specific estimates such as the Group's specific credit spread.

The Group's lease liabilities amounted to ₱54,597,941 and ₱83,618,943 as of December 31, 2024 and 2023, respectively (see Note 8).

Estimating Lease Term of ROU Asset

The Group assesses lease term at the commencement date. Any non-cancellable period in a lease would be included as part of lease term. To be part of a contract, any option to extend or terminate the leases that are included in the lease term must also be enforceable. The Group shall determine the lease term as the non-cancellable period of a lease together with periods covered by an option to extend the lease if the lessee is reasonably certain to exercise that option. In assessing whether it is reasonably certain to exercise an option to extend a

lease, the Group considers relevant facts and circumstances that create an economic incentive to exercise the option to extend the lease.

Estimating Useful Lives of Property and Equipment and Software

The Group estimates the useful lives of property and equipment based on the period over which these assets are expected to be available for use. The estimated useful lives are reviewed periodically and are updated if expectations differ from previous estimates due to physical wear and tear, technical or commercial obsolescence and legal or other limits on the use of these assets. In addition, estimation of the useful lives is based on collective assessment of industry practice, internal technical evaluation and experience with similar assets. It is possible, however, that future results of operations could be materially affected by changes in estimates brought about by changes in factors mentioned above. The amounts and timing of recorded expenses for any period would be affected by changes in these factors and circumstances.

The net book values of property and equipment and software amounted to ₱157,526,886 and ₱167,162,310 as of December 31, 2024 and 2023, respectively (see Note 7).

Estimating Impairment of Investments in Associates

At each reporting date, the Group determines whether there is objective evidence that the investment associates are impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associates and its carrying value and recognizes the loss in the consolidated statements of comprehensive income.

The Group performed an impairment testing on its investment in TVI for the year ended December 31, 2023 and 2022. Based on the impairment testing, recoverable amount is higher than its carrying value, accordingly, no impairment loss has been recognized (see Note 6).

The carrying amounts of the Group's investment in associates amounted to ₱78,730,984 and ₱131,100,507 as of December 31, 2024 and 2023, respectively (see Note 6).

Estimating Impairment of Prepaid Expenses and Other Current Assets, Property and Equipment, Software and Investment Properties

The Group assesses impairment of an asset whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. The factors that the Group considers important which could trigger an impairment review include the following:

- Significant underperformance relative to expected historical or projected future operating results;
- Significant changes in the manner of use of the acquired assets or the strategy for overall business; and
- Significant negative industry or economic trends.

An impairment loss is recognized whenever the carrying amount of an asset exceeds its recoverable amount. The recoverable amount is computed using the asset's value in use. The value in use is based on the present value of estimated future cash flows expected to arise from the continuing use of an asset and from its disposal at the end of its useful life. For input VAT and CWTs, an impairment loss is provided when management believes that there is no expected taxable income in the future in which it can be used or when the balance can no longer be realized or collected after exhausting all efforts and courses of action. Recoverable amounts are estimated for individual assets or, if it is not possible, for the cash-generating unit to which the asset belongs.

In determining the present value of estimated future cash flows expected to be generated from the continued use of the assets, the Group is required to make estimates and assumptions that can materially affect the consolidated financial statements.

No impairment losses on deferred contract cost, prepaid expenses and other current assets, property and equipment, software and investment properties were recognized for each of the three years in the period ended December 31, 2024. The aggregate net book values of prepaid expenses and other current assets, property and equipment, software and investment properties amounted to ₱191,299,836 and ₱196,355,635 as of December 31, 2024 and 2023, respectively (see Notes 5, 7 and 9).

Revenue Recognition Method and Measure of Progress

The Group concluded that the revenue from IT services is to be recognized over time (i.e., over a year) since (a) the Group's customers simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs and, (b) the Group has an enforceable right to payment for performance completed to date. In measuring the progress of its performance obligation over time, the Group uses the input method, which is measured principally based on actual costs incurred in rendering the services, because there is a direct relationship between the Group's effort (i.e., amount of service rendered) and the transfer of service to the customer.

Estimating Retirement Benefits

The cost of retirement benefit plan and present value of the defined benefit obligation are determined using actuarial valuations. The actuarial valuation involves making various assumptions. These include the determination of the discount rates, future salary increases, mortality rates and future retirement benefit increases. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, defined benefit obligations are highly sensitive to changes in these assumptions.

All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of government bonds that are denominated in the currency in which the benefits will be paid, with extrapolated maturities corresponding to the expected duration of the defined benefit obligation.

The mortality rate is based on publicly available mortality tables for the specific country and is modified accordingly with estimates of mortality improvements. Future salary increases and retirement benefit increases are based on expected future inflation rates for the specific country.

Retirement benefit expense recognized in the consolidated statements of income amounted to ₱3,209,931, ₱2,722,236 and ₱3,167,638 in 2024, 2023 and 2022, respectively. Remeasurement losses on defined benefit plan recognized in the consolidated statements of comprehensive income amounted to ₱7,523,395 in 2024 and ₱2,964,299 in 2023 and remeasurement gain on defined benefit plan amounted to ₱509,137 in 2022. Retirement benefit obligation amounted to ₱17,588,135 and ₱8,354,809 as of December 31, 2024 and 2023, respectively (see Note 18).

Estimating Realizability of Deferred Income Tax Assets

The Group reviews its deferred income tax assets at each reporting date and reduces the carrying amounts to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax assets to be utilized in the future.

The Group's assessment on the recognition of deferred income tax assets on deductible temporary differences is based on forecasted taxable income. This forecast is based on Group's past results and future expectations on revenues and expenses. However, there is no assurance that the Group will generate sufficient taxable income to allow all or part of its deferred income tax assets to be utilized in the future.

The recognized deferred income tax assets in 2024 and 2023 amounted to ₱8,296,857 and ₱10,990,107, respectively (see Note 20). As of December 31, 2024 and 2023, the Group has future deductible temporary differences, carryforward benefits of excess MCIT on which no deferred income tax assets were recognized as management believes that it is not probable that sufficient taxable profit will be available to allow all or part of the deferred income tax assets to be utilized in the future.

Estimating Contingencies

The Group evaluates legal and administrative proceedings to which it is involved based on analysis of potential results. Management and its legal counsels do not believe that any current proceedings will have material effects on its financial position and results of operations. It is possible, however, that future results of operations could be materially affected by changes in the estimates or in the effectiveness of strategies relating to these proceedings.

4. Trade and Other Receivables

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Trade		
Related parties (see Note 17)	₱ 55,304,957	₱45,540,607
Third parties	47,423,371	84,643,332
Accrued income	65,259,444	1,525,094
Receivable from TVI (see Note6)	-	33,700,382
Advances to officers and employees and others	13,810,102	12,291,207
Others	-	485,884
	181,797,874	178,186,506
Less allowance for impairment losses	(3,649,364)	(3,649,364)
	₱ 178,148,510	₱174,537,142

Trade receivables are noninterest-bearing and have a 30-day credit term.

Receivable from TVI pertains to outstanding balance of the proceeds of sale of investment in ePI to TVI which was paid June 30, 2025 (see Note 6).

Advances to officers and employees are non-interest bearing and are expected to be collected within one year.

There is no additional provision for ECL recognized in 2024 and 2023.

5. Prepaid Expenses and Other Current Assets

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Prepaid subscription fees and dues	₱ 8,657,845	₱4,379,463
Input VAT	20,463,530	10,378,108
Prepaid taxes and CWTs	11,279,014	8,395,196
Prepaid income taxes		3,903,494

Security deposits	946,771	946,771
Advances to suppliers	97,634	96,622
Others	10,240,538	3,591,761
	P 51,685,332	P31,691,415

Prepaid subscription fees and dues include statutory payments to PSE and National Telecommunications Commission.

Security deposits include deposits to the Group's leased line providers having a term of one year that automatically renew unless terminated.

Others pertains to advance payments of business and local taxes.

6. Investments in Associates

The carrying values of investments in associates are as follows:

	Principal place business	Principal tivity	Percentage ownership of		Sept 30, 2025 Unaudited	Dec 31, 2024 Audited
			2025	2024		
TVI	Philippines	IT Services	11.76%	11.76%	P64,227,432	P78,730,984
ePI	Philippines	BPO	-	3.80%	-	-
					P64,227,432	P78,730,984

The movements of investment in associates are as follows:

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Acquisition cost:		
Balance at the beginning of the year	P 45,094,000	P67,042,203
Disposal	-	(21,948,203)
Balance at end of the year	45,094,000	45,094,000
Accumulated equity in net earnings:		
Balances at beginning of year	33,394,938	60,642,606
Dividends received	-	-
Disposal		(14,142,037)
Equity in net earnings (losses)	(14,503,552)	(13,105,630)
Balances at end of year	19,417,266	33,394,939
Share in other comprehensive income:		
Balances at beginning of year	(283,834)	3,415,698
Disposal		(1,334,555)
Equity share in other comprehensive income (loss) during the year	-	(1,839,098)
Balances at end of year	(283,834)	242,045
	P 64,227,432	P 78,730,984

Details of the share in the associate's net earnings (losses) are as follows:

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
TVI	(P14,503,552)	(P5,628,839)
ePI		(7,476,791)
	(P14,503,552)	(P13,105,630)

Details of the equity share in other comprehensive income (loss) during the year are as follows:

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
TVI	P -	(P1,806,841)
ePI	-	(32,257)
	P -	(P1,839,098)

The following is the summarized comparative financial information of the associates (amounts in thousands):

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
TVI		
Current assets	P 659,049	P 679,684
Noncurrent assets	826,556	868,673
Current liabilities	(703,586)	(655,166)
Noncurrent liabilities	(89,418)	(73,518)
	692,602	819,673
Less non-controlling interest	157,599	189,604
Equity	535,003	630,069
Ownership of the Group	11.76%	11.76%
	62,916	74,096
Other adjustment	1,311	4,635
Carrying amount of the investment	P 64,227	P 78,731

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Revenue	P 353,838	P 477,818
Costs and expenses	(315,532)	(364,003)
Equity in net income (loss) of associates	(128,387)	(102,649)
Other income (loss)	(822)	11,997
Loss from discontinued operations	-	-
Provision for income tax	(16,028)	(30,182)
Net income (loss)	(106,931)	(7,019)
Less: Net income (loss) attributable to non-controlling interest	(16,398)	40,846
Net income (loss) attributable to parent	(123,330)	(47,865)
Ownership of the Group	11.76%	11.76%
Equity in net earnings (losses)	(P14,504)	(P5,629)

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Other comprehensive income (loss)	P -	(P15,364)
Ownership of the Group	11.76%	11.76%
Share in other comprehensive income	P -	(P1,807)

ePI	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Current assets	-	₱ 2,254,332
Noncurrent assets	-	1,028,225
Current liabilities	-	(1,868,149)
Noncurrent liabilities	-	(532,858)
Equity	-	881,550
Ownership of the Group	-	3.80%
	-	33,499
Other adjustment	-	3,926
		37,425
		(37,425)
Carrying amount of the investment	₱ -	₱ -

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Service fees	-	₱ 3,932,843
Costs of services	-	(3,830,680)
Selling and administrative expenses	-	(258,394)
Other expenses	-	(17,097)
Provision for income tax	-	(23,429)
Net income (loss)	-	(196,757)
Ownership of the Group	-	3.80%
Equity in net earnings (losses)	-	(₱7,477)

	September 30, 2025 Unaudited	Dec 31, 2023 Audited
Other comprehensive losses	₱ -	(₱849)
Ownership of the group	-	3.80%
Share in other comprehensive losses	₱ -	(₱32)

In December 2024, the Company sold 22,085,697 shares of ePI, having a carrying value of ₱ 37,424,795 at the time of sale, to TVI at a selling price of ₱2.03 per share. The total consideration from the sale of shares is ₱44,933,843, resulting to the recognition of gain amounting to ₱7,509,048. The gain is presented under “Gain on sale of an investment in an associate” account in the parent company statements of comprehensive income. As of December 31, 2024, portion of the consideration amounting to ₱33,700,382 remains unpaid.

In 2024 and 2023, the Company has determined that an impairment test has to be performed on its investment in TVI amounting to ₱78,730,984 and ₱86,166,664, respectively, because of certain impairment indicators noted. In performing an impairment test calculation, the Company determined the recoverable amount of the investment through value in use (VIU). VIU is derived based on financial budgets prepared by the senior management covering the operation of TVI. Based on the result of this impairment testing, it was noted that the recoverable amount, determined through VIU, is higher than the carrying amount, accordingly, no impairment loss has been recognized in 2024 and 2023.

The calculation of the VIU of the investment in TVI is most sensitive to the following assumptions:

- Discount rate - Discount rate reflects the management's estimate of risks applicable to the investment in TVI. In determining appropriate discount rates, consideration has been given

to various market information, including, but not limited to, government bond yield, bank lending rates and market risk premium.

- Revenue growth rate - The long-term revenue growth rate used to extrapolate future cash flows excludes expansions and potential improvements in the future. Management also recognized the possibility of new entrants, which may have significant impact on existing growth rate assumptions. Management, however, believes that new entrants will not have a significant adverse impact on the forecasts included in the financial budgets.

Management have reflected future economic uncertainty in the risk-adjusted cash flows, giving a more accurate representation of the risks specific to the projects.

The summarized financial information of TVI excludes reciprocal holdings between the Group and TVI.

No dividend was received from these investments in 2024 and 2023.

7. Property and Equipment

September 30, 2025 (Unaudited)

	ICT Equipment	ROU Assets Office Spaces	Leasehold Improvem ent	Transportati on Equipment	Furniture, Fixtures and Equipment	Total
Cost:						
Balances at beginning of year	112,493,057	107,547,828	37,031,369	10,365,179	21,544,669	288,982,102
Additions	2,670,809	-	-	-	(2,888,255)	(217,446)
Balances at end of year	115,163,866	107,547,828	37,031,369	10,365,179	18,656,414	288,764,656
Accumulated depreciation and amortization:						
Balances at beginning of year	94,888,933	78,956,641	15,802,480	4,898,363	17,179,367	211,725,783
Depreciation and amortization (see Notes 14 and 15)	5,628,217		1,609,751	1,194,777	(1,485,733)	6,947,012
Balances at end of year	100,517,150	78,956,641	17,412,231	6,093,140	15,693,634	218,672,795
Net book values	14,646,716	28,591,187	19,619,138	4,272,039	2,962,780	70,091,861

December 31, 2024 (Audited)

	ICT Equipment	ROU Assets Office Spaces	Leasehold Improvement	Transportation Equipment	Furniture, Fixtures and Equipment	Total
Cost:						
Balances at beginning of year	133,859,471	117,573,449	32,207,550	6,097,321	342,280	290,080,072
Additions	1,871,764	-	4,823,819	4,267,857	-	10,963,440
Modification of Lease (note 8)		(17,893,678)				
Balances at end of year	135,731,235	99,679,771	37,031,369	10,365,179	342,280	283,149,834
Accumulated depreciation and amortization:						
Balances at beginning of year	100,627,749	61,981,239	14,349,778	3,660,982	342,280	180,962,029
Depreciation and amortization (see Notes 14 and 15)	13,134,060	9,107,344	1,452,701	1,237,382	-	24,931,487
Balances at end of year	113,761,809	71,088,583	15,802,480	4,898,364	342,280	205,893,516
Net book values	21,969,426	28,591,188	21,228,889	5,466,815	-	77,256,318

8. Leases

The Group as a Lessee

- a. On October 1, 2019, the Group entered into a lease agreement with Joint Research Development Corporation (JRDC) for the lease of its office space. The lease term is for five years, renewable every year at the option of the Group and under such terms and conditions as may be agreed upon by both parties (see Note 19). The Group assessed that the lease agreement will be renewed for another 15 years until September 31, 2039 since it is enforceable and certain that renewal of the contract is to be exercised by the Group. Rental charges are subjected to an annual escalation of 5% starting October 1, 2020.

On November 1, 2024, the Company modified its lease agreement for its 168.40 square meter leased space, with a new lease term of five years and a one year option to renew. The lessor and lessee mutually agreed to decrease the rate per square meter of the leased office space from ₱1,005 to ₱912. New rental charges are subjected to annual escalation of 5% starting November 1, 2025. This resulted to a lease modification reducing the lease liability and ROU asset by ₱17,893,678 in 2024.

- b. In April 2018, the Group entered into a facilities agreement with JRDC for the use of its office space. The agreement covers a period of five (5) years and requires a monthly rental of ₱1,234,776 subject to annual escalation rate of 5%. The Company assessed that the lease term includes the renewal period of 5 years until April 2028 since it has the option to renew.

In 2023, the Company renewed its contract for 5 years until February 15, 2028, with modified rental rates and no option to renew. This resulted to a lease modification reducing the lease liability and ROU asset by ₱31,666,612 in 2023.

- c. In December 2019, the Group entered into a facilities agreement with N-Cube BGC Properties, Inc. for the use of its office space. The agreement covers a period of 5 years and requires a monthly rental of ₱1,124,930 subject to annual escalation rate of 5%. On April 1, 2022, the Company modified its lease agreement to decrease the leased area by 270.73 square meter, with a corresponding decrease in monthly rental. This resulted to a lease modification.

In 2023, the lease agreement was pre-terminated effective October 1, 2023 by a deed of assignment in favor of Adventure International Tours, Inc. (AITI).

- d. In November 2022, the Company entered into a facilities agreement with Asean Holdings, Inc. (AHI) for the use of its office space. The agreement covers a period of 5 years and requires a monthly rental of ₱588,189 and subject to annual escalation rate of 5%. The office space will serve as an Enterprise Facility of Ocean Network PTE Ltd. (ONE), with the Company acting as as the back-office and administrative headquarter of ONE. The lease agreement does not meet the criteria of a lease under PFRS 16 as there is no identified asset in the agreement. Expense recognized related to this lease agreement amounted to ₱9,542,195 and ₱7,749,724 in 2024 and 2023, respectively.

Shown below is the carrying amount and the movement of the lease liabilities :

	2024	2023
Balance at beginning of year	₱ 83,618,943	₱ 144,886,671
Acquisition of subsidiary (see Note 6)	-	-
Accretion of interest	4,977,229	6,729,671
Lease payments	(16,104,553)	(23,607,927)
Effect of lease modification	(17,893,678)	(31,666,612)
Derecognition	-	(12,722,860)
Balance at end of year	54,597,941	83,618,943
Less current portion	13,199,065	10,953,502
Noncurrent portion	₱ 41,398,8763	₱ 72,665,441

The following are the amounts recognized in the Group's consolidated statements of income.

	2024	2023
Interest expense on lease liabilities	₱ 4,977,229	₱6,729,671
Expenses relating to short-term leases	345,600	7,857,354
Depreciation expense of ROU assets included in property and equipment (see Note 7)	9,107,344	16,280,798
Gain on lease modification	-	(2,286,150)
	₱14,430,173	₱28,581,673

Shown below is the maturity analysis of the undiscounted lease payments for the leases of the Group:

	2024	2023
Within 1 year	₱16,610,544	₱16,469,793
Between 1 year to 2 years	17,307,656	16,809,413
Between 2 years to 3 years	22,064,186	17,516,469
Between 3 years to 4 years	4,408,252	18,258,879
Between 5 years	1,959,322	40,860,999
	₱62,349,960	₱109,915,553

The Group as a Lessor

On June 1, 2020, the Group entered into a lease agreement with MarCoPay Inc. (MCP), for the use of its office space. The agreement is for a term of three (3) years and a monthly rental of ₱1,699,500 subject to an annual escalation rate of 5%. On July 31, 2023, after few months of extension, the lease agreement has been terminated.

Total rent income earned amounted to ₱9,988,643 and ₱17,604,925 for the years ended December 31, 2024 and 2023, respectively (see Note 13).

Security deposits received in connection with the facilities agreements amounted to ₱ 4,325,228 and ₱9,091,728 as of December 31, 2024 and 2023, respectively.

9. Investment Properties

Investment properties consist of the acquisition costs of parcels of land, currently held for capital appreciation amounting to ₱2,081,535 as of December 31, 2024 and 2023. The fair market values of these properties amounted to ₱13,820,000 based on the assessment of market conditions by an independent appraiser in 2024 and 2023, respectively.

In determining the fair values of these investment properties, the independent appraisers used the Sales Comparison Approach which is a comparative approach that considers the sales of similar or substitute properties and related market data and establishes a value estimate by process involving comparison. The inputs used in the fair value measurement include price per square meter of the properties.

The appraiser gathers data on actual sales and/or listings, offers, and renewal options, and identifies the similarities and differences in the data, ranks the data according to their relevance, adjusts the sales prices of the comparable to account for the dissimilarities with the unit being appraised and forms a conclusion as to the most reasonable and probable market value of the subject property. The elements of comparison include location, physical characteristics, available utilities, zoning, and highest and best use. The most variable elements of comparison are the site's physical characteristics, which include its size and shape, frontage, topography and location. Fair values of investment properties are estimated under Level 3 inputs.

Significant increases (decreases) in price per square meter would result in a significantly higher (lower) fair value of the properties.

No significant maintenance costs were incurred to maintain the Group's investment properties. The Group has no restrictions on the realizability of its investment properties and no contractual obligations to either purchase, construct or develop investment properties or for repairs, maintenance and enhancements.

10. Trade and Other Payables

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Trade:		
Related parties	₱ 9,429,607	₱25,931,368
Third parties	19,806,609	16,395,552
Accrued expenses	61,770,718	35,576,362
Output VAT	13,673,721	5,335,635
Other tax payable	-	3,855,608
Contract liability	1,255,789	3,642,232
Deferred output VAT	1,357,393	2,101,774
Advances	807,789	1,323,850
Deposits	341,860	341,860
Others	3,746,608	6,220,367
	₱ 112,190,094	₱100,724,608

Trade payables from related and third parties are noninterest-bearing and generally have a 30-day credit term.

Accrued expenses consist of the following:

	September 30, 2025	Dec 31, 2024
	Unaudited	Audited
Cost of leased line subscription	28,515,926	16,328,421
Direct cost	621,784	6,459,435
Rent and utilities	16,544,991	4,622,732
Salaries and wages	10,812,726	4,086,764
Interest	2,606,389	2,122,083
Professional fees	830,665	694,959
Others	1,838,237	1,261,968
	P 61,770,718	P35,576,362

The rollforward analysis of contract liability consists of the following as at December 31, 2024:

Balance at beginning of year	P-
Additions	4,384,902
Balance at end of year	4,384,902
Less: current portion of contract liability	3,642,232
Noncurrent portion of contract liability	P742,670

The noncurrent portion of contract liability amounting to P742,670 as of December 31, 2024 is presented under “Other noncurrent liabilities” in the consolidated statements of financial position.

Advances include advance collections from customers for the monthly services fees. The noncurrent portion of advances amounting to nil and P824,951 as of December 31, 2024 and 2023, respectively, is presented under “Other noncurrent liabilities” in the consolidated statements of financial position.

Other tax payable pertains to capital gains tax related to the sale of investment in ePI (see Note 6).

Other payables consist mainly of statutory payables such as withholding taxes, Social Security System premiums, health insurance and other government liabilities.

11. Note Payable

The Group obtained an unsecured loan from Banco De Oro for working capital requirements. The loan has a one-year term subject to renewal. This loan is interest bearing at floating/variable interest rate per annum which ranges from 6.00% to 6.20% and 4.00% to 6.00% in 2024 and 2023, respectively.

In July 2024, the Group acquired loan with MCP Finance Inc. (MFI) payable in 5 years amounting to P4,800,000 with 13% annual interest payable monthly.

The Group incurred interest expense amounting to P6,811,426 and P8,609,861 for the years ended December 31, 2024 and 2023, respectively.

The Group does not have the requirement to comply with any debt covenant related to the loans.

As of December 31, 2024 and 2023, notes payable amounted to ₱114,488,876 and ₱110,000,000, respectively.

	2024	2023
Balance at beginning of year	₱110,000,000	₱140,000,000
Additions	4,780,000	6,459,435
Payment	(291,124)	(30,000,000)
Balance at end of year	114,488,876	110,000,000
Less: current portion	110,766,146	110,000,000
Noncurrent portion	₱ 3,722,730	₱-

12. Equity

Capital Stock

The Group's total authorized subscribed and issued capital stock as follows:

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Common stock - ₱1.00 par value		
Authorized		
- 270,000,000 stocks		
Issued and outstanding		
- 150,000,000 stocks	₱150,000,000	₱150,000,000
Preferred stock - ₱0.01 par value		
Class A - voting and redeemable stocks		
Authorized - 3,000,000,000 stocks		
Issued and outstanding- 150,000,000 stocks	1,500,000	1,500,000
	₱151,500,000	₱151,500,000

As of December 31, 2024 and 2023, there are 312 stockholders.

Preferred Stocks

The features of the preferred stocks are as follows:

- The holder of preferred stocks shall be given preference over the holders of common stocks in the distribution of corporate assets in the event of liquidation, dissolution or winding up of the Group;
- The preferred stocks may be redeemed by the Group in part or in full, at any time from the date of issue of the said stocks, by paying to the holder of such preferred stocks the amount equivalent to the par value of such preferred stocks;
- Preferred stocks shall be voting;
- Preferred stocks shall be non-participating and non-cumulative;
- The preferred stocks shall not have pre-emptive rights; and
- The preferred stocks are not listed in the PSE.

Equity Reserve

In 2022, the Group acquired 1,000,000 stocks in TESI amounting to ₱162,925,694. The acquisition increased the Group's ownership in TESI making it a wholly owned subsidiary. This acquisition resulted to the recognition of equity reserve amounting to ₱35,257,765.

Capital Management

The primary objective of the Group's capital management is to ensure that the Group maintains strong credit rating and healthy capital ratios in order to support its business and maximize stockholder value.

The Group manages its capital structure and makes adjustments to it, in light of changes in economic conditions and the risk characteristics of its activities. To maintain or adjust the capital structure, the Group may return capital to stockholders or issue new stocks. No changes were made in the objectives, policies or processes for managing capital during the three years ended December 31, 2024.

The Group is not exposed to externally imposed capital requirements.

The following are the Group's core economic capital:

	September 30, 2025 Unaudited	Dec 31, 2024 Audited
Capital stock	₱151,500,000	₱151,500,000
Retained earnings	111,417,977	109,889,454
Equity reserve	35,186,834	35,186,834
	₱ 298,104,811	₱296,576,288

13. Revenues

	For the Period Ended September 30 Unaudited	
<i>Service type:</i>	2025	2024
Managed connectivity and services	₱ 46,137,255	₱ 43,983,832
Technology and Data Services	312,665,326	298,950,560
	₱ 358,802,581	₱ 342,934,392

14. Costs of Services

	For the Period Ended September 30 Unaudited	
	2025	2024
Direct Cost	₱ 130,799,585	₱ 136,556,229
Rent and utilities	23,535,805	19,297,338
Depreciation and amortization (see Note 8)	23,180,122	23,839,165
Service and maintenance fees	-	-

Employee-related costs (see Note 16)	109,890,679	94,171,515
Transportation and Communication	3,497,793	3,202,934
Other cost	731,986	845,753
	P 291,635,970	P 277,912,934

15. General and Administrative Expenses

	For the Period Ended September 30 Unaudited	
	2025	2024
Employee-related (see Note 16)	P 21,961,294	P 20,676,899
Rent and utilities	7,192,982	6,694,334
Management and consultancy fees (see Note 17)	-	-
Share in corporate expense (see Note 17)	979,109	1,077,153
Subscription dues	3,031,822	2,627,185
Taxes and licenses	3,255,900	2,907,091
Professional fees	1,059,112	1,216,802
Transportation and travel	986,119	632,135
Communications	197,537	447,866
Entertainment, amusement, and recreation	1,351,320	2,452,688
Office supplies	389,270	461,771
Marketing expenses	733,867	745,034
Seminars and trainings	1,303,086	169,648
Repairs and maintenance	71,022	67,806
Insurance	218,324	250,995
Depreciation and amortization (see Note 7)	813,875	789,514
Others	1,474,840	1,873,875
	P 45,019,479	P 43,090,796

16. Employee-related Expenses

	For the Period Ended September 30 Unaudited	
	2025	2024
Salaries and wages	P 117,690,928	P 101,247,459
Other employee benefits	14,161,045	13,600,955

	₱ 131,851,973	₱ 114,848,414
--	----------------------	----------------------

Employee-related expenses are presented in the consolidated statements of income as follows:

	For the Period Ended September 30	
	Unaudited	
	2025	2024
Costs of services (see Note 14)	₱ 109,890,679	₱ 94,171,515
General and administrative expenses (see Note 15)	21,961,294	20,676,899
	₱ 131,851,973	₱ 114,848,414

17. Related Party Transactions

Parties are considered to be related if one party has the ability to control, directly or indirectly, the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control or common significant influence.

In the normal course of business, the Group has the following transactions with its related parties:

- a. The Group provides IT related services to its related parties in the normal course of business (see Note 13).

The outstanding balances are included in trade receivables under "Trade and other receivables" account in the consolidated balance sheets (see Note 4).

- b. The Group incurred the following transactions with its related parties:

The Group leased an office space from JRDC. The remaining rental charges and utilities are included in "Rent and utilities" under "General and administrative expenses" (see Note 15).

Transactions with TDGI, WHMI, MIMA, TMDC, UHI and TCL pertain to purchase of various goods and services such as medical, transportation and management costs in the normal course of business.

Transactions with TDC, AI, YLPI and KAI pertain to rent and reimbursement for trainings, warehouse storage fees, advertising and promotion, and agriculture costs in the normal course of business.

Transactions with AITI, MFI, TSMI, TLSC and TVI include purchases of goods and services in the normal course of business.

The outstanding balances are included as due to related parties under "Trade and other payables" account in the consolidated balance sheets (see Note 10).

- c. Transactions with related parties are settled in cash. Application or offsetting is not allowed.
- d. The Group participates in the Transnational Diversified Group of Companies Retirement Plan (the Group Plan; see Note 18).
- e. The Group compensation of key management personnel are as follows:

	2024	2023
Salaries and wages	₱27,810,060	₱30,426,129
Retirement benefits	7,107,575	2,649,003
Allowances and benefits	1,293,825	1,340,083
	₱36,211,460	₱34,415,215

18. Retirement Benefit Plan

The Group participates in the Group Plan, a funded, noncontributory defined benefit retirement plan covering substantially all regular employees of the participating companies (see Note 17). Benefits are based on certain percentage of the final monthly basic salary for every year of credited service of the employees. The annual contribution to be paid by the participating companies to the Group Plan is based on the unfunded actuarial liability computed individually for each participating Group. The funds are administered by the Retirement Committee appointed by the BOD of the participating companies. The Retirement Committee is responsible for the investing decisions of the Plan and defines the investment strategy as often as necessary, at least annually, especially in the case of significant market developments or changes to the structure of the plan participants.

Under the existing regulatory framework, Republic Act No. 7641, *The Philippine Retirement Pay Law*, requires a provision for retirement pay to qualified private sector employees in the absence of any retirement plan in the entity, provided however that the employee's retirement benefits under any collective bargaining and other agreements shall not be less than those provided under the law. The law does not require minimum funding of the plan.

Movements in retirement benefit obligation recognized in the consolidated statements of financial position are as follows:

2024

	January 1, 2024	Retirement Benefit Expense in Profit or Loss				Remeasurement Gains (Losses) in Other Comprehensive Income							December 31, 2024
		Current Service Cost	Past Service Cost	Net Interest Cost	Subtotal	Return on Plan Assets (excluding amount included in net interest)	Actuarial Changes Arising From Changes in Financial Assumptions	Actuarial Changes Arising from Changes in Demographic Assumptions	Experience Adjustments	Subtotal	Acquired/ Transferred	Contributions	
Present value of defined benefit obligation	₱27,014,930	₱2,738,884	₱—	₱1,613,253	₱4,352,137	₱—	(₱261,413)	(₱106,361)	₱8,662,246	₱8,294,472	(₱108,239)	₱—	₱39,553,300
Fair value of plan assets	(18,660,121)	—	—	(1,142,206)	(1,142,206)	(662,838)	—	—	—	(662,838)	—	(1,500,000)	(21,965,165)
Retirement benefit obligation	₱8,354,809	₱2,738,884	₱—	₱471,047	₱3,209,931	(₱662,838)	(₱261,413)	(₱106,361)	₱8,662,246	₱7,631,634	(₱108,239)	(₱1,500,000)	₱17,588,135

2023

	January 1, 2023	Retirement Benefit Expense in Profit or Loss				Remeasurement Gains (Losses) in Other Comprehensive Income							December 31, 2023
		Current Service Cost	Past Service Cost	Net Interest Cost	Subtotal	Return on Plan Assets (excluding amount included in net interest)	Actuarial Changes Arising From Changes in Financial Assumptions	Actuarial Changes Arising from Changes in Demographic Assumptions	Experience Adjustments	Subtotal	Acquired/ Transferred	Contributions	
Present value of defined benefit obligation	₱26,148,891	₱2,205,561	₱—	₱1,787,239	₱3,992,800	₱—	₱734,673	₱—	(₱1,803,944)	(₱1,069,271)	(₱2,057,490)	₱—	₱27,014,930
Fair value of plan assets	(18,480,617)	—	—	(1,270,564)	(1,270,564)	1,091,060	—	—	—	1,091,060	5,000,000	(5,000,000)	(18,660,121)
Retirement benefit obligation	₱7,668,274	₱2,205,561	₱—	₱516,675	₱2,722,236	₱1,091,060	₱734,673	₱—	(₱1,803,944)	₱21,789	₱2,942,510	(₱5,000,000)	₱8,354,809

The maximum economic benefit available is a combination of expected refunds from the plan and reductions in future contributions.

The major categories of the Group Plan's assets as a percentage of the fair value of the total plan assets are as follows:

	2024	2023
Cash and cash equivalents	57%	60%
Investment in equity instruments	19%	15%
Others	24%	25%

The Group Plan's assets and investments consist of the following:

- Cash and cash equivalents, which includes regular savings and time deposits;
- FVTPL investments, which includes marketable securities; and
- Other.

The principal actuarial assumptions used to determine the present value of defined benefit obligation are as follows:

	2024	2023
Discount rate	6.10%	6.00%
Future wage and salary rate increases	3.00%	3.00%

The sensitivity analysis below has been determined based on reasonably possible changes of each significant assumption on the present value of defined benefit obligation assuming all other assumptions were held constant:

	Basis Points	Increase (Decrease)	
		2024	2023
Discount rate	+100	(P2,844,673)	(P833,199)
	-100	3,337,491	1,065,598
Future wage and salary rate increases	+100	P3,495,229	P1,061,390
	-100	(2,991,818)	(844,221)

The Retirement Committee reviews the performance of the Group Plan on a regular basis. It assesses whether the Group plan will achieve investment returns which, together with contributions, will be sufficient to pay retirement benefits as they fall due. The Group also reviews the solvency position of the different participating companies on an annual basis and estimates, through the actuary, the expected contribution to the Group Plan in the subsequent year.

The Group expects to contribute P2,000,000 to the retirement fund in year 2025.

The average durations of the defined benefit obligation as of December 31, 2024 and 2023 range from 7.9 – 11.4 years and 9 - 10 years, respectively.

The maturity analysis of the undiscounted benefit payments are as follows:

	2024	2023
Less than 1 year	₱1,436,808	₱233,650
More than 1 year but less than 5 years	30,973,088	23,146,784
More than 5 years but less than 10 years	10,009,588	2,822,927
More than 10 years but less than 15 years	21,447,885	9,253,850
More than 15 years but less than 20 years	20,103,723	32,209,428
More than 20 years	130,702,732	447,298,709
	₱214,673,824	₱514,965,348

19. Income Taxes

The provision for current income tax represents the following:

	2024	2023
5% Gross income tax for income derived from PEZA-registered activities	₱2,774,540	₱2,973,579
RCIT on non-PEZA registered activities	934,003	626,731
MCIT on non-PEZA registered activities	—	—
	₱3,708,543	₱3,600,310

20. Earnings (Loss) Per Common Share

The following reflects the consolidated net income (loss) and number of shares used in the computation of basic and diluted earnings per share:

	For the Period Ended September 30 (Unaudited)		
	2025	2024	2023
Net income (loss) attributable to equity holders of the parent	₱ 1,528,524	₱ 3,171,233	₱ 6,708,339
Divided by weighted average number of outstanding shares	150,000,000	150,000,000	150,000,000
Earnings (loss) per common share	₱0.01	₱0.02	₱0.04

21. Segment Information

PFRS 8, *Operating Segments*, requires operating segments to be identified on the basis of internal reports about components of the Group that are regularly reviewed by the Chief Operating Decision Maker (CODM).

Operating segments are components of the Group that engage in business activities from which they may earn revenues and incur expenses, whose operating results are regularly reviewed by the Group's CODM to make decisions about how resources are to be allocated to the segment and assess their performances, and for which discrete financial information is available.

For purposes of management reporting in 2023, the Group's operating businesses are organized and managed separately according to services provided, with each segment

representing a strategic business segment. The Group's identified operating segments, which are consistent with the segments reported to the BOD, the Group's CODM, are as follows:

- IT services which comprises of managed connectivity and services and technology and data services
- Rental
- Training services

Management monitors the operating results of its segments separately for the purpose of making decisions about resource allocation and performance assessment. Segment revenue and segment expenses are measured in accordance with PFRS. The presentation and classification of segment revenue and segment expenses are consistent with the consolidated statements of income. Interest expense and financing charges, depreciation and amortization expense and income taxes are managed on a per segment basis.

22. Financial Risk Management Objectives and Policies

The Group's financial instruments comprised of cash and cash equivalents, trade and other receivables, due from related parties, trade and other payables, note payable, lease liabilities and due to related parties.

The BOD has overall responsibility for the establishment and oversight of the Group's financial risk management framework. The Group's financial risk management policies are established to identify and manage the Group's exposure to financial risks, to set appropriate transaction limits and controls, and to monitor and assess risks and compliance to internal control policies. Financial risk management policies and structure are reviewed regularly to reflect changes in market conditions and the Group's activities.

The carrying values of the Group's financial assets and liabilities per category as per category are as follows:

	2024		2023	
	Financial Assets at Amortized Cost	Loans and Borrowings	Financial Assets at Amortized Cost	Loans and Borrowings
Cash and cash equivalents	₱58,833,373	₱—	₱58,177,170	₱—
Trade and other receivables	174,537,142	—	130,672,863	—
Due from related parties	62,550,889	—	60,093,558	—
Trade and other payables*	—	77,903,282	—	78,385,572
Note payable	—	114,488,876	—	110,000,000
Lease liabilities	—	54,597,941	—	83,618,943
Due to related party	—	2,493,642	—	2,493,642
	₱295,921,404	₱249,483,741	₱248,943,591	₱274,498,157

*excluding statutory payables, advances from customers and deposits

The Group has exposure to credit risk, liquidity risk and foreign currency risk from the use of its financial instruments. The BOD reviews and approves the policies for managing each of these risks.

Credit Risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument or contract asset fails to meet its contractual obligations and arises principally from the Group's trade and other receivables, dividend receivable and contract assets.

The Group trades only with recognized, creditworthy counterparties. It is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures. In addition, trade and other receivables balances are monitored on an ongoing basis with the result that the Group's exposure to bad debts is not significant.

The Group's maximum exposure to credit risk is the aggregate carrying amounts of its financial assets and contract asset, which are as follows:

	2024	2023
Cash and cash equivalents	₱58,833,373	₱58,177,170
Trade and other receivables	174,537,142	130,672,863
Due from related parties	62,550,889	60,093,558
Contract asset*	—	—
	₱295,921,404	₱248,943,591

*Presented as part of contract asset and deferred contract cost - net of current portion

The Group evaluated its cash in banks as high quality financial assets as these are deposited with reputable banks duly approved by the BOD. Except for certain receivables which were fully provided with allowance for impairment losses, all of Group's trade and other receivables and dividends receivable are collectible and good standing.

The Group's financial assets that are neither past due nor impaired are considered to be of high grade.

The Group's bases in grading its receivables are as follows:

High grade - These pertain to receivables from counterparties with good favorable credit standing. The counterparties have a very remote likelihood of default and have consistently exhibited good paying habits.

Standard grade - These pertain to receivables from counterparties who settle their obligation with tolerable delays.

Substandard grade - These accounts show probability of being impaired based on historical experience.

Liquidity Risk

Liquidity risk is the risk that the Group will not be able to meet their financial obligations as they fall due. The Group's objectives to managing liquidity risk is to ensure, as far as possible, that they will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking adverse effect to the Group's credit standing.

The Group manages liquidity risk by maintaining a balance between continuity of funding and flexibility. As part of its liquidity risk management, the Group regularly evaluates its projected and actual cash flows.

The table below summarizes the maturity profile of the Group's financial assets used for liquidity purposes based on contractual undiscounted cashflows, and the Group's financial liabilities based on contractual undiscounted payments.

2024

	On demand	Less than 30 days	Less than 60 days	Less than 90 days	More than 90 days	Total
Financial Assets:						
Cash	P58,833,373	P-	P-	P-	P-	P58,833,373
Trade and other receivables	133,952,814	21,252,745	19,331,583	-	-	174,537,142
Due from related parties	-	-	-	-	62,550,889	62,550,889
	192,786,187	21,252,745	19,331,583	-	62,550,889	295,921,404
Financial Liabilities:						
Trade and other payables*	-	47,431,950	-	20,120,804	10,350,528	77,903,282
Notes payable	117,412,115	-	-	-	-	117,412,115
Due to related parties	-	-	-	-	2,493,642	2,493,642
Lease liabilities	-	1,384,212	1,384,212	1,384,212	58,197,324	62,349,960
	117,412,115	48,816,162	1,384,212	21,505,016	71,041,494	260,158,999
Net Financial Assets (Liabilities)	P75,374,072	(P27,563,417)	P17,947,371	(P21,505,016)	(P8,490,605)	(P35,762,405)

*excluding statutory payables, advances from customers and deposits totaling to P22,821,326

2023

	On demand	Less than 30 days	Less than 60 days	Less than 90 days	More than 90 days	Total
Financial Assets:						
Cash	P58,177,170	P-	P-	P-	P-	P58,177,170
Trade and other receivables	67,790,533	43,550,747	19,331,583	-	-	130,672,863
Due from related parties	-	-	-	-	60,093,558	60,093,558
	125,967,703	43,550,747	19,331,583	-	60,093,558	248,943,591
Financial Liabilities:						
Trade and other payables*	-	47,431,950	-	20,120,804	10,832,818	78,385,572
Notes payable	116,600,000	-	-	-	-	116,600,000
Due to related parties	-	-	-	-	2,493,642	2,493,642
Lease liabilities	-	1,372,483	1,372,483	1,372,483	105,798,104	109,915,553
	116,600,000	48,804,433	1,372,483	21,493,287	119,124,564	307,394,767
Net Financial Assets (Liabilities)	P9,367,703	(P5,253,686)	P17,959,100	(P21,493,287)	(P59,031,006)	(P58,451,176)

*excluding statutory payables, advances from customers, and deposits totaling to P16,579,422

Foreign Currency Risk

Foreign currency risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to the risk of changes in foreign currency exchange rates relates primarily to the Group's operating activities. The Group follows a policy to manage its foreign currency risk by not maintaining major cash accounts aside from United States dollar (\$) and ₱.

The following table shows the Group's significant foreign currency denominated financial assets and their ₱ equivalents:

	2024		2023	
	In \$	In ₱	In \$	In ₱
Cash	176,350	10,200,966	345,740	19,143,624
Trade and other receivables	340,039	19,669,556	403,964	22,367,487
	516,389	29,870,522	749,704	41,511,111

The ₱/\$ closing exchange rate used for the translation are ₱57.85 and ₱55.37 per \$1.00 at December 31, 2024 and 2023, respectively.

The following table demonstrates the sensitivity to a reasonable possible change in the ₱/\$ exchange rates, with all other variables held constant, of the Group's income before income tax.

	2024		2023	
	₱ Appreciates Against \$	₱ Depreciates Against \$	₱ Appreciates Against \$	₱ Depreciates Against \$
Change in ₱/\$ exchange rate	+5%	-5%	+5%	-5%
Effect on income before income tax	₱1,493,526	(₱1,493,526)	₱2,075,556	(₱2,075,556)

There is no other impact on the Group's equity other than those already affecting profit or loss.

Fair Values of Financial Instruments

Cash and cash equivalents, trade and other receivables, due from related parties, trade and other payables, note payable and due to related parties

The carrying amounts of cash and cash equivalents, trade and other receivables, due from related parties, trade and other payables, note payable and due to related parties approximate their fair values due to the short-term maturities of these financial instruments.